Rady | UC San Diego School of Management

MGT 461: Behavioral Economics and Market Design

Spring 2025

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TA: TBA

DESCRIPTION

This course explores the intersection of behavioral economics, decision-making and market design. Students will develop a deep understanding of how psychological, cognitive and emotional factors influence individual and firm decision-making. Students will leverage this insight to learn how to design more efficient and equitable markets, policies and business strategies.

This course has three major aims:

- The first aim is to arm students with a framework for understanding individual and firm decision-making. This framework is presented through an economic lens, and incorporates behavioral economics theories such as cognitive biases, decision heuristics, social norms and time inconsistency.
- The second aim is to apply principles from behavioral economics to business areas like marketing, pricing, product design and organizational behavior with a focus on real-world case studies.
- The third aim is to provide students with the empirical tools needed to evaluate the impact of behavioral and market solutions to problems.

We will begin with a foundation in economic theory. We will apply our theory to a series of real-world examples (case studies). Students will work individually or in teams to identify a behavioral or market problem and provide a proposal (pitch) for solutions to fix the problem. At the end of the course, students will present their ideas to each other via a poster presentation.

OBJECTIVES

At the close of this course, you will be able to:

- Understand the principles of behavioral economics
- Analyze cognitive biases and their impact on decision-making
- Understand when and how to apply behavioral or market solutions to problems
- Understand how to evaluate the impact of the solutions using empirical data

MATERIALS

- See Canvas for readings.

ASSIGNMENTS

GRADING

You will form a group of 2-4 for the duration of the quarter. You will complete the pitch in these groups. These groups will be self-selected or assigned by the instructor, depending on your preferences.

- Participation (individual) 25%
- Assignments (individual) 25%
- Final project (group) 50%

Participation: Participation consists of class attendance, speaking in class, engaging in small-group discussion, and participating in pilots/feedback with other groups.

Assignments: Several individual assignments.

Final project: There is a final group project in this class, which consists of developing a pitch for a behavioral problem and behavioral or market solution.

At the end of the quarter, all students will be asked to complete a peer evaluation. The instructor reserves the right to adjust the project and/or participation grade downward for students who did not participate equally in the group project.

Late assignments will be deducted 50%.

COURSE OUTLINE

The course is grouped into three components. Session 1 focuses on foundations of behavioral economics and the corresponding asynchronous lectures feature topics related to different behavioral theories. Session 2 focuses on behavioral and market solutions and the corresponding asynchronous lectures cover these applied concepts. Session 3 includes poster presentations by students and corresponding asynchronous lectures cover topics on using empiricism to evaluate the impact of solutions to problems. All sessions include active discussion via case studies and group-work on applied problems.

Session 1: Foundations of Behavioral Economics

- Traditional economic assumptions and behavioral realities
- Limitations of rational choice theory
- Prospect theory and decision-making under uncertainty
- Loss aversion
- Framing effects
- System 1 vs. System 2 thinking
- Cognitive biases and heuristics
- **Case Study:** Behavioral Insights HBS Case

Session 2: Behavioral and Market Solutions

- Choice architecture
- Behavioral market design: market failures and solutions
- Incentive alignment – employee motivation
- **Case Study: TBA**

Session 3: Final Presentations & Empiricism

- Using experiments, quasi-experiments and observational data to evaluate impact of proposed solutions
- Behavioral public policy
- **Final poster presentations**

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at: http://senate.ucsd.edu/manual/appendices/appendix2.pdf

AI POLICY

This policy outlines the appropriate use of Artificial Intelligence (AI) tools in this course, ensuring that the technology enhances learning while preserving the integrity of individual thought and effort.

Permitted Use of AI:

1) Understanding and Research: Students are permitted to use AI tools to deepen their understanding of course materials and assist with research related to course topics. AI can be utilized to summarize readings, provide explanations of complex concepts, and generate ideas for project brainstorming.
2) Explicitly Allowed Assignments: AI may be used in completing assignments only when explicitly stated in the assignment instructions. These will be designed to specifically leverage AI capabilities in a way that enhances the learning objectives of the task.

Prohibited Use of AI:

1) General Assignments and Examinations: The use of generative AI is strictly prohibited in the completion of regular assignments and during examinations. Assignments are crafted to assess individual understanding and the ability to apply concepts independently.
2) Discussion Contributions: Participation in course discussions, whether online or in-person, must be free of AI assistance. The value of these discussions lies in the personal insights, original thought, and interaction among peers, which AI usage could undermine.

Rationale:

1) The educational value of assignments and discussions in this course stems from personal intellectual engagement and the development of individual analytical skills. AI, while beneficial in certain contexts, can shortcut these learning processes and reduce the depth of personal understanding and critical thinking.

Enforcement: Students are expected to adhere to this policy as part of their commitment to academic integrity. Violations of the AI usage policy will be subject to review under the standard academic misconduct procedures and could result in disciplinary action.

Support and Clarifications: Students are encouraged to seek clarification from the instructor regarding the use of AI tools in specific instances. The instructor is available to provide guidance on how AI can be appropriately integrated into learning activities without compromising educational outcomes.

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the OSD website for further information or contact the Office for Students with Disabilities at (858) 534-4382 or fosorio@ucsd.edu

CLASS SCHEDULE

See "Summary of Course Topics"